	Would need to be available online and delivered (in paper or electronic format) upon request	Rule 30e-1(b)(2) and (b)(3)	
Remuneration paid to directors, officers, and others *(Form N-1A Item 27(b)(3))*	Move to Form N-CSR Would need to be available online and delivered (in paper or electronic format) upon request	Item 10 of Form N-CSR Rule 30e-1(b)(2) and (b)(3)	Section II.D.1.e
Statement regarding the basis for the board's approval of investment advisory contract *(Form N-1A Item 27(d)(6)(i))*	Move to Form N-CSR Would need to be available online and delivered (in paper or electronic format) upon request	Item 11 of Form N-CSR Rule 30e-1(b)(2) and (b)(3)	Section II.D.1.f
Management information and statement regarding availability of additional information about fund directors *(Form N-1A Item 27(b)(5) and (6))*	Remove from shareholder reports, but information would remain available in a fund's SAI, which is available online or delivered upon request		Section II.E
Rule 30e-3 disclosure, if applicable *(Form N-1A Item 27(d)(7))*	Remove from shareholder reports		Section II.G
Funds have discretion to provide other information in their shareholder reports (*e.g.*, president's letters)	Limit annual report disclosure to that which is permitted or required under proposed Item 27A of Form N-1A	Instruction 1 to Item 27A(a) of Form N-1A	Section II.B.1.b

1. Scope of Annual Report Disclosure, and Registrants Subject to Amendments

We propose to limit the scope of funds' annual reports in several respects to reduce their overall length and complexity. First, we propose to require a fund to prepare separate annual reports for each of its series. Second, we generally propose to limit the content a fund may include in its annual report.

a. Scope With Respect to Separate Series and Classes

Many mutual funds and ETFs are organized as single registrants with several series (sometimes referred to as portfolios).[108] Each series has its own investment objectives, policies, and restrictions. The Federal securities laws and Commission rules often treat each series as a separate fund.[109] A single fund or series can have multiple share classes. Classes typically differ based on fee structure, with each class having a different sales load and distribution fee. Series and classes of a registrant are often marketed separately, without reference to other series or classes or to the registrant's name.[110]

Currently, fund registrants may prepare a single shareholder report that covers multiple series. We believe this approach contributes to the length and complexity of shareholder reports. For example, a shareholder that is invested in one series of the registrant would need to spend more time searching through the report to find disclosure related to his or her investment. Moreover, a shareholder report that provides information for multiple series

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108 *See* sections 18(f)(1) and (2) of the Investment Company Act [15 U.S.C. 80a-18(f)(1) and (2)]; rule 18f-2 under the Investment Company Act [17 CFR 270.18f-2].

109 *See, e.g.*, 17 CFR 270.22c-2(c)(2); 17 CFR 270.22e-4(a)(5); General Instruction A to Form N-1A (defining "fund" to mean a registrant or a separate series of the registrant).

110 *See* Rulemaking for EDGAR System, Investment Company Act Release No. 26990 (July 18, 2005) [70 FR 43558 (July 27, 2005)], at text following n.17.

may present an increased risk of shareholder confusion. For instance, if two series included in the same shareholder report were to have similar names, there could be a greater risk that a shareholder would mistakenly review information that does not relate to his or her investment. Because the length and complexity associated with multi-series shareholder reports are inconsistent with our goal of creating concise shareholder report disclosure that a shareholder can more easily use to assess and monitor his or her ongoing fund investment, we are proposing to require fund registrants to prepare separate annual reports for each series of the fund.[111] As a result, a shareholder would receive an annual report that only addresses the series in which he or she is invested. We believe that this more-focused annual report would be more relevant to shareholders than a multi-series report and, accordingly, shareholders would be more likely to read such disclosure.

Although we are proposing to restrict funds' annual reports to include only one series of a fund, our proposal would not require a shareholder report to cover a single class of a multiple-class fund.[112] Because different share classes of a fund represent interests in the same investment portfolio, much of the proposed shareholder report disclosure would be the same

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[111] *See* Instruction 4 to proposed Item 27A(a). Similarly, we have generally required that registrants present summary information separately for each fund in a multiple fund prospectus to promote the goal of concise, readable summaries. *See* 2009 Summary Prospectus Adopting Release, *supra* footnote 10, at text accompanying nn.43-60. Under the proposal, fund registrants could continue to include multiple shareholder reports that cover different series in a single Form N-CSR report filed on EDGAR. We do not believe this would affect the usability of the information for shareholders because shareholder reports for each series would separately be available online, and we understand that shareholders generally do not go to EDGAR to find fund shareholder reports. *See, e.g.*, *supra* footnote 74.

[112] *See* Instruction 4 to proposed Item 27A(a). This approach is similar to the approach taken in the summary prospectus, which similarly may describe more than one class of a fund. *See* rule 498(b)(4) [17 CFR 230.498(b)(4)].

for all classes.[113] For disclosure that would differ among classes, such as expenses and performance data, the amended disclosure requirements that we are proposing would specifically require funds to provide certain class-specific information.[114]

We request comment on the proposed scope of disclosure for the annual report, including the following:

1. Would the proposed requirement that a fund registrant prepare separate annual reports for each of its series result in shareholder report disclosure that is easier for fund shareholders to navigate and assess? If not, why not? Would requiring separate annual reports for each series increase the reports' relevance to shareholders and increase the likelihood that shareholders would read them? If not, why not? How would this proposed requirement affect the approach fund registrants currently use to prepare and transmit shareholder reports? Are there ways to modify the proposed instruction that would further improve disclosure for shareholders or reduce burdens for fund registrants? Instead of the proposed instruction, should we continue to permit fund registrants to prepare a single annual report that covers multiple fund series, as they may today? If so, why, and should there be any limits on the number of series for which information is presented?

2. Are there certain types of funds for which a multi-series presentation in an annual report may be useful to shareholders? If so, which types of funds, and what are the

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[113] For example, this would include, among other disclosure items, graphical representations of holdings, the required statistics (*i.e.*, the size of the fund, its number of holdings, and portfolio turnover rate), the narrative discussion of factors that affected the fund's performance, and most categories of material fund changes.

[114] We discuss these proposed requirements in more detail below. *See infra* Section II.B.2.b (discussing the proposed requirement to provide expense information for each class) and Section II.B.2.c.ii (discussing the proposed requirement to disclose average annual total returns for 1-, 5-, and 10-year periods for each class).

benefits of a multi-series presentation to shareholders? Should we permit certain types of funds, but not others, to prepare annual reports covering multiple series of the same fund?

3. Are there ways we could allow multi-series presentations in annual reports while also promoting our goals of providing concise, readable disclosure to existing shareholders that is tailored to their informational needs? If so, how?

4. A fund may have multiple share classes with differing fee structures. Should these multi-class funds be permitted to reflect only one or a subset of classes, rather than all share classes in a shareholder report so long as a fund produces a shareholder report that relates to each share class? Would such an approach reduce the complexity of the disclosure and provide more-tailored information that is specific to a shareholder's investment in the fund? Or, conversely, would such a requirement not benefit shareholders? For example, could it reduce shareholders' ability to compare classes of a fund? Should there be limits on the number or types of classes that a single annual report may cover to reduce potential complexity or length? For example, should we prohibit an annual report transmitted to retail shareholders from including disclosure related to a fund's institutional class? Are there potential complexities or burdens associated with such an approach? Please explain.

b. Scope of Content

As a general matter, we are proposing to allow a fund to include in its annual report only the information that Item 27A of Form N-1A specifically permits or requires.[115] We

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[115] *See* Instruction 3 to proposed Item 27A(a) of Form N-1A; *see also infra* Section II.B.2 (discussing the content requirements of the proposed annual report, as well as certain optional content that a fund may include in its annual report).

We are, however, proposing flexibility with respect to the use of online tools to assist shareholders in understanding the contents of an annual report that appears online or otherwise

believe that allowing only the required or permitted information to appear in a fund's annual report would promote consistency of information presented to shareholders and would allow retail shareholders to focus on information particularly helpful in monitoring their investment in a fund.[116] We also believe this approach would encourage more impartial information by preventing funds from adding information commonly used in marketing materials.

We recognize, however, that there may be limited circumstances in which it may be appropriate for a fund to provide more or less information than what proposed Item 27A of Form N-1A would permit or require. Specifically, if a fund's particular circumstances may cause the required disclosures to be misleading, the proposal would allow the fund to add additional information to the report that is necessary to make the required disclosure items not misleading.[117] As an example, if a fund changed its investment policies or structure during or since the period shown, the expense, performance, or holdings information that a fund must include in its annual report may require additional disclosure to render those presentations not misleading. Disclosure in response to this provision should generally be as brief as possible.

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is provided electronically. *See* Instruction 8 to proposed Item 27A(a) of Form N-1A; *see also* discussion at section II.B.4 *infra.*

116 Many of the proposed instructions to each requirement provide some flexibility so that a fund can tailor its presentation of information to match how the fund invests. For instance, a fund has the ability to select the categories that are reasonably designed to depict clearly the types of a fund's investments when preparing its graphical representation of holdings. *See* proposed Item 27A(f) of Form N-1A.

117 *See* Instruction 2 to proposed Item 27A of Form N-1A (permitting a fund to include disclosure that is required under rule 8b-20 under the Investment Company Act); rule 8b-20 under the Investment Company Act (providing, "[i]n addition to the information expressly required to be included in a registration statement or report, there shall be added such further information, if any, as may be necessary to make the required statements, in the light of the circumstances under which they are made, not misleading").

Moreover, if a required disclosure is inapplicable, the proposed rule would permit the fund to omit the disclosure.[118] Similarly, to promote better-tailored disclosure, a fund would be permitted to modify a required legend or narrative information if the modified language contains comparable information to what is otherwise required.[119]

The proposed amendments to Form N-1A would not permit a fund to incorporate by reference any information into its annual report.[120] That is, a fund could not refer to information that is located in other disclosure documents in order to satisfy the content requirements for an annual report. The limited number of proposed disclosure items in the annual report is designed to promote the goal of providing a concise, more-engaging report that gives shareholders key information to assess and monitor their ongoing fund investments.[121] We do not believe that permitting funds to incorporate information by reference into the shareholder report is consistent with this goal, because it would require shareholders to take an additional step to locate information that funds incorporate by reference into their reports. While the proposed rule would require or permit a fund's shareholder report to refer to other materials in some cases, those other materials would not incorporate information into the fund's shareholder report for purposes of satisfying the annual report disclosure requirements.[122]

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118 *See* Instruction 7 to proposed Item 27A(a) of Form N-1A.

119 *See id*.

120 *See* Instruction 5 to proposed Item 27A(a). Incorporation by reference refers to the practice of, instead of including disclosure in a specific document, referring to another document that contains the specified information.

121 *See, e.g.*, Instructions 1, 3, and 5 to proposed Item 27A(a) of Form N-1A.

122 *See, e.g.*, Instructions 8 and 9 to proposed Item 27A(a) of Form N-1A; proposed Items

Although the proposed rule would only permit the inclusion of certain information in the annual report, it would not prevent a fund from referring shareholders to the availability of certain additional website information near the end of the report or providing additional information to shareholders in the same transmission as the annual report.[123] For example, the proposed rule would not preclude a fund from providing a letter to investors explaining its management philosophy or investment outlook in the same transmission that includes the annual report. However, the proposal would require that the shareholder report be given greater prominence than these other materials, except for certain specified disclosure materials.[124] We would generally consider a fund to satisfy the "greater prominence" requirement if, for example, the shareholder report is on top of a group of paper documents that are provided together or, in the case of an electronic transmission, the email or other message includes a direct link to the report or provides the report in full in the body of the message.[125] This proposed requirement would not, however, apply to certain specified

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27A(b)(4) and 27A(j) of Form N-1A.

[123] *See* proposed Item 27A(j) of Form N-1A; *infra* Section II.B.2.i (discussing the provision that would allow funds to refer to the availability of additional website information, if the fund reasonably believes shareholders would likely view the information as important).

[124] *See* Instruction 12 to proposed Item 27A(a) of Form N-1A. This is substantially similar to a requirement in rule 498, which provides that a fund's summary prospectus generally must be given greater prominence than other materials that accompany the summary prospectus. *See* rule 498(f)(2).

[125] These examples of how funds may satisfy the proposed prominence requirement are consistent with interpretations of similar requirements in other Commission rules and forms. *See, e.g.*, 2009 Summary Prospectus Adopting Release, *supra* footnote 10, at text accompanying n.220 ("Generally, we believe that the 'greater prominence' requirement would be satisfied if the placement of the Summary Prospectus is more prominent than accompanying materials, *e.g.*, the Summary Prospectus is on top of a group of paper documents that are provided together."); General Instructions 10.C and 10.D of Form CRS (requiring a relationship summary delivered in paper format to be the first among any documents delivered at that time, and a relationship summary delivered electronically to be presented prominently in the electronic medium (*e.g.*,

disclosure materials that a fund may transmit with an annual report, which include summary prospectuses, statutory prospectuses, notices of the online availability of proxy materials, and other shareholder reports.[126]

We request comment on the scope of content that the proposed rule would require or permit a fund to include in its annual report, including the following:

5. Is it appropriate to restrict the content of a fund's annual report to include only the information the form would permit or require? If not, why not? Would these proposed limits on content create a more effective presentation for investors? Are there other approaches we should consider (such as permitting space in the annual report for funds to disclose other information they deem important to investors)? What are the benefits and drawbacks of shorter or longer disclosure, or a more flexible approach to disclosure, for investors relative to the proposed approach?

6. Is it appropriate for funds to have flexibility to include other communications to shareholders in the same transmission as a shareholder report? Should the shareholder report be subject to the proposed prominence requirement? If not, should we require other prominence or formatting standards if the transmission includes other materials, or should we impose other requirements or limitations associated with materials that funds could transmit along with the shareholder report?

7. As proposed, should we allow a fund to modify a required legend or narrative information as long as the modified language contains comparable information? If not, why not? Should we use this approach for all aspects of the annual report, or are there particular

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as a direct link or in the body of an email or message)).

[126] See id.

areas where requiring uniform language across all funds' annual reports would be particularly valuable to shareholders, for example, to facilitate comparisons or improve shareholder understanding? If so, how should we balance the potential value of uniform language with potential concerns that uniform language may not be well-tailored to a particular fund or its shareholders?

8. Is it appropriate not to permit funds to incorporate information by reference into their annual reports, as proposed? If not, why not? Is there certain information that a fund should be permitted to incorporate by reference into its annual report? If so, what information, and why?

c. Scope With Respect to Other Registrants

Our proposed amendments to annual reports would only apply to shareholder reports for investment companies registered on Form N-1A. These funds represent the vast majority of investment company assets under management.[127] We also have recently adopted changes to the disclosure framework for closed-end funds and variable insurance contracts tailored to these investment companies' characteristics and, in the case of closed-end funds, to implement congressional directives.[128] The recently adopted changes to closed-end fund disclosure include multiple changes to these funds' shareholder report disclosures, and we would like to understand funds' and investors' experience with this new disclosure framework

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127 *See infra* Section III.B.1.

128 *See* Variable Contract Summary Prospectus Adopting Release, *supra* footnote 27; Securities Offering Reform for Closed-End Investment Companies, Investment Company Act Release No. 33836 (Apr. 8, 2020) [85 FR 33290 (Jun. 1, 2020)] ("Closed-End Fund Offering Reform Adopting Release").